

COMMITTEE ON COMMERCE
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1671
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 5-101.01, Arizona Revised Statutes, is amended
3 to read:

4 5-101.01. Division of racing; director; qualifications; term;
5 deputy director; conflict of interest

6 A. There is established a division of racing within the department
7 of gaming.

8 B. The director shall administer the division. To be eligible for
9 appointment as director, a person must have a minimum of five years of
10 experience in business and administration and shall not have a financial
11 interest in a racetrack or in the racing industry in this state during
12 that person's appointment.

13 C. The director may establish the position of deputy director of
14 the division.

15 D. The position of deputy director, if applicable, is exempt from
16 title 41, chapter 4, articles 5 and 6. The deputy director, if
17 applicable, is eligible to receive compensation pursuant to section
18 38-611.

19 E. ~~The provisions of~~ Title 38, chapter 3, article 8, relating to
20 conflict of interest, ~~apply~~ APPLIES to the director and all other
21 employees of the department.

22 F. Neither the director, any employee of the department nor any
23 member of the immediate family of the director or other employee of the
24 department may:

25 1. Have any pecuniary interest in a racetrack in this state or in
26 any stable, compound or farm licensed under this chapter.

27 2. Wager money at a racetrack enclosure or additional wagering
28 facility in this state or wager money on the results of any race held at a
29 racetrack enclosure in this state.

30 3. Hold more than a five percent interest in any entity doing
31 business with a racetrack in this state.

32 4. Have any interest, whether direct or indirect, in a license
33 issued pursuant to this chapter or in a licensee, facility or entity that
34 is involved in any way with pari-mutuel wagering. For the purposes of
35 this paragraph, "interest" includes employment.

1 G. THE DIRECTOR, THE DEPUTY DIRECTOR, IF APPLICABLE, AND ALL
2 EMPLOYEES OF THE DEPARTMENT SHALL COMPLETE A CONFLICT-OF-INTEREST
3 DISCLOSURE FORM ON INITIAL APPOINTMENT AS DIRECTOR AND DEPUTY DIRECTOR, IF
4 APPLICABLE, AND ON HIRING AS A NEW EMPLOYEE. THE DIRECTOR, THE DEPUTY
5 DIRECTOR, IF APPLICABLE, AND ALL DEPARTMENT EMPLOYEES SHALL SUBMIT AN
6 UPDATED CONFLICT-OF-INTEREST DISCLOSURE FORM ANNUALLY IF ANY
7 CONFLICT-OF-INTEREST INFORMATION HAS CHANGED.

8 ~~G.~~ H. Failure to comply with subsection F OR G of this section is
9 grounds for dismissal.

10 ~~H.~~ I. For the purposes of subsection F of this section, "immediate
11 family" means a spouse or children who regularly reside in the household
12 of the director or other employee of the department.

13 Sec. 2. Section 5-223, Arizona Revised Statutes, is amended to
14 read:

15 5-223. Arizona state boxing and mixed martial arts
16 commission; appointment; terms; compensation;
17 conflict of interest; emergency ringside meetings

18 A. The ~~Arizona state boxing and mixed martial arts~~ commission
19 consists of three members appointed by the governor pursuant to section
20 38-211. The term of office of commissioners is three years. The term of
21 one member shall expire on the third Monday in January each year.

22 B. Two members of the commission constitute a quorum for conducting
23 business. A concurrence of two members is necessary to render a decision
24 by the commission. Emergency ringside meetings held immediately ~~prior~~
25 ~~BEFORE~~ and ~~subsequent to~~ AFTER a scheduled contest for the purpose of
26 determining whether there has been a violation of the rules and
27 regulations of the commission or this chapter are exempt from ~~the~~
28 ~~provisions of~~ title 38, chapter 3, article 3.1.

29 C. The commissioners shall receive compensation as determined
30 pursuant to section 38-611 for each day they act in their official
31 capacity, not to exceed one hundred days each year.

32 D. A commissioner shall not during the commissioner's term of
33 office promote, sponsor or have any financial interest in a combatant, a
34 boxing contest or in the premises leased for a boxing contest.

35 E. THE EXECUTIVE DIRECTOR, ALL COMMISSIONERS AND ALL DEPARTMENT AND
36 COMMISSION EMPLOYEES SHALL COMPLETE A CONFLICT-OF-INTEREST DISCLOSURE FORM
37 ON INITIAL APPOINTMENT AS A COMMISSIONER AND ON HIRING AS A NEW EMPLOYEE.
38 THE EXECUTIVE DIRECTOR, ALL COMMISSIONERS AND ALL EMPLOYEES SHALL SUBMIT
39 AN UPDATED CONFLICT-OF-INTEREST DISCLOSURE FORM ANNUALLY IF ANY
40 CONFLICT-OF-INTEREST INFORMATION HAS CHANGED.

41 Sec. 3. Section 5-604, Arizona Revised Statutes, is amended to
42 read:

43 5-604. Department of gaming; director; qualifications; term;
44 conflict of interest; grounds for dismissal

45 A. The department of gaming is established.

46 B. The governor shall appoint a director of the department of
47 gaming pursuant to section 38-211. The director serves at the pleasure of

1 the governor. To be eligible for appointment as director, a person shall
2 not have a financial interest in a gambling operation or in the gambling
3 industry in this state during the term of appointment. The governor may
4 appoint an acting director if there is a vacancy in the office.

5 C. The director and all other employees of the department are
6 subject to title 41, chapter 4, article 4. The director is eligible to
7 receive compensation pursuant to section 38-611.

8 D. The employment or financial interest of any relative to the
9 first degree of consanguinity or affinity to the director or any other
10 employee of the department in the gambling industry in this state is
11 grounds for the dismissal of the director or employee of the department.

12 E. THE DIRECTOR AND ALL EMPLOYEES OF THE DEPARTMENT SHALL COMPLETE
13 A CONFLICT-OF-INTEREST DISCLOSURE FORM ON INITIAL APPOINTMENT AS DIRECTOR
14 AND ON HIRING AS A NEW EMPLOYEE. THE DIRECTOR AND ALL DEPARTMENT
15 EMPLOYEES SHALL SUBMIT AN UPDATED CONFLICT-OF-INTEREST DISCLOSURE FORM
16 ANNUALLY IF ANY CONFLICT-OF-INTEREST INFORMATION HAS CHANGED.

17 ~~[F. ON OR BEFORE DECEMBER 17 OF EACH YEAR, THE DEPARTMENT SHALL~~
18 ~~SUBMIT ALL DEPARTMENT AUDITS THAT ARE CONDUCTED BY A THIRD-PARTY AUDITOR~~
19 ~~TO THE PRESIDENT OF THE SENATE, THE SPEAKER OF THE HOUSE OF~~
20 ~~REPRESENTATIVES AND THE GOVERNOR.]~~

21 Sec. 4. Title 5, chapter 6, article 1, Arizona Revised Statutes, is
22 amended by adding section 5-606, to read:

23 5-606. Complaints; tracking system; annual report

24 A. THE DEPARTMENT SHALL CREATE AND IMPLEMENT A COMPLAINT SUBMISSION
25 PROCESS AND COMPLAINT TRACKING SYSTEM THAT ALLOW THE DEPARTMENT TO TRACK
26 AND MONITOR COMPLAINTS RELATING TO THIS CHAPTER AND CHAPTERS 2, 10 AND 11
27 OF THIS TITLE. THE DEPARTMENT SHALL MAKE THE COMPLAINT SUBMISSION PROCESS
28 AVAILABLE ON THE DEPARTMENT WEBSITE.

29 ~~[B. THE DEPARTMENT SHALL SUBMIT AN ANNUAL REPORT TO THE PRESIDENT~~
30 ~~OF THE SENATE, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND THE~~
31 ~~GOVERNOR THAT INCLUDES ALL OF THE FOLLOWING INFORMATION:~~

32 ~~1. THE NUMBER OF COMPLAINTS THAT WERE RECEIVED THROUGH THE~~
33 ~~COMPLAINT SUBMISSION PROCESS.~~

34 ~~2. THE NUMBER OF COMPLAINTS THAT WERE RECEIVED THROUGH THE~~
35 ~~COMPLAINT SUBMISSION PROCESS AND THAT WERE DISMISSED.~~

36 ~~3. THE NUMBER OF COMPLAINTS THAT WERE RECEIVED THROUGH THE~~
37 ~~COMPLAINT SUBMISSION PROCESS AND THAT WERE RESOLVED.]~~

38 [B. ON OR BEFORE SEPTEMBER 30 OF EACH YEAR, THE DEPARTMENT SHALL
39 SUBMIT AN ANNUAL REPORT TO THE PRESIDENT OF THE SENATE, THE SPEAKER OF THE
40 HOUSE OF REPRESENTATIVES AND THE GOVERNOR THAT INCLUDES AGGREGATE DATA OF
41 COMPLAINTS THAT ARE RECEIVED BY THE DEPARTMENT RELATING TO PERSONS OR
42 ENTITIES THAT ARE LICENSED OR REGULATED PURSUANT TO THIS TITLE AND THAT
43 ARE WITHIN THE STATUTORY AUTHORITY OF THE DEPARTMENT.]

44 <<Sec. 5. Section 5-1312, Arizona Revised Statutes, is amended to
45 read:

46 5-1312. Reporting

1 A. On or before September 30 of each year, the department shall
2 prepare and submit an annual report to the governor, the president of the
3 senate and the speaker of the house of representatives, and shall provide
4 a copy to the secretary of state that contains the following information:

- 5 1. The number of active licensees by type.
- 6 2. The aggregate gross and net revenue of all licensees.
- 7 3. The number of investigations conducted to enforce this chapter.
- 8 4. The financial impact on this state of the event wagering
9 industry in this state.

10 B. The report may be included with other information required to be
11 submitted by the department annually. A report submitted under subsection
12 A of this section may be submitted electronically.

13 [C. THE REPORT REQUIRED PURSUANT TO SUBSECTION A OF THIS SECTION
14 MUST INCLUDE A STATEMENT THAT INDICATES THE NUMBER OF INDEPENDENT AUDIT
15 RESULTS THAT ARE REQUIRED TO BE SUBMITTED BY LICENSED EVENT WAGERING
16 OPERATORS AND MANAGEMENT SERVICES PROVIDERS PURSUANT TO SECTION 5-1319 AND
17 THAT WERE RECEIVED BY THE DEPARTMENT AND MUST INCLUDE ANY CORRECTIVE
18 ACTIONS TAKEN BY THE DEPARTMENT REGARDING OVERPAYMENT OR UNDERPAYMENT OF
19 PRIVILEGE FEES.]>>

20 Sec. 6. Repeal

21 Sections 41-3026.04, 41-3026.13 and 41-3026.22, Arizona Revised
22 Statutes, are repealed.

23 Sec. 7. Title 41, chapter 27, article 2, Arizona Revised Statutes,
24 is amended by adding sections 41-3032.11, 41-3032.15 and 41-3032.20 to
25 read:

26 41-3032.11. Arizona racing commission; termination July 1, 2032

27 A. THE ARIZONA RACING COMMISSION TERMINATES ON JULY 1, 2032.

28 B. TITLE 5, CHAPTER 1 AND THIS SECTION ARE REPEALED ON JANUARY 1,
29 2033.

30 41-3032.15. Arizona state boxing and mixed martial arts
31 commission; termination July 1, 2032

32 A. THE ARIZONA STATE BOXING AND MIXED MARTIAL ARTS COMMISSION
33 TERMINATES ON JULY 1, 2032.

34 B. TITLE 5, CHAPTER 2 AND THIS SECTION ARE REPEALED ON JANUARY 1,
35 2033.

36 41-3032.20. Department of gaming; termination July 1, 2032

37 A. THE DEPARTMENT OF GAMING TERMINATES ON JULY 1, 2032.

38 B. SECTIONS 5-601, 5-602, 5-602.01, 5-603 AND 5-604, TITLE 5,
39 CHAPTERS 10 AND 11 AND THIS SECTION ARE REPEALED ON JANUARY 1, 2033.

40 Sec. 8. Purpose

41 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
42 the legislature continues the department of gaming to:

43 1. Carry out the responsibilities of the state gaming agency in
44 compacts executed by the state Indian tribes and this state pursuant to
45 the Indian gaming regulatory act of 1988 (25 United States Code sections
46 2701 through 2721 and 18 United States Code sections 1166 through 1168).

47 2. Ensure the integrity of fantasy sports contests.

1 3. Enforce and supervise compliance with the laws and rules
2 relating to regulating and controlling event wagering in this state.

3 4. Regulate racing and boxing and mixed martial arts in this state
4 in conjunction with their respective commissions.

5 Sec. 9. Purpose

6 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
7 the legislature continues the Arizona racing commission to regulate the
8 racing industry in this state for the protection of the public peace,
9 safety and welfare.

10 Sec. 10. Purpose

11 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
12 the legislature continues the Arizona state boxing and mixed martial arts
13 commission to provide the best protection for all interested parties in
14 the sports of boxing, kickboxing and mixed martial arts.

15 <<Sec. 11. ~~Department of gaming; review; independent audits;~~
16 ~~event wagering; fees~~

17 ~~The department of gaming shall review all independent audits that~~
18 ~~have been conducted as of 2021 to determine if event wagering operators~~
19 ~~have paid the correct required privilege fee amounts as prescribed by~~
20 ~~section 5-1318, Arizona Revised Statutes. The department shall address~~
21 ~~and correct any overpayments or underpayments of privilege fee payments as~~
22 ~~required by rule.>>~~

23 Sec. 11. Retroactivity

24 Sections ~~[5 and]~~ 6 ~~[and 7]~~ of this act are effective retroactively
25 to from and after July 1, 2026.

26 Enroll and engross to conform

27 Amend title to conform

And, as so amended, it do pass

JEFF WENINGER
CHAIRMAN

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03/24/2026

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